

Magnolia Terrace | Investment & Offering Memorandum (Revised)

Source-backed analysis. Assumptions remain subject to diligence.

Executive summary

This is the revised package reflecting the September 1, 2026 roll and revision notice. The attached workbook and outputs are an additive revision; prior artifacts remain in the audit archive.

What changed per revision-notice.pdf p.1: (a) Suite 045 moved from pending to active and its monthly rent increased by \$225 (to \$2,150); (b) the initial sizing rate increased by 75 bps to 7.00%; (c) the capitalization rate increased by 25 bps to 6.00%. All other rules and data sources are unchanged. Prior executed Suite 001 amendment remains in effect for in-place rent context but, per instructions, stabilized GPR continues to use the roll schedule before that amendment for Suite 001.

Key revised results: UW EGI \$945,045; UW NOI (before reserves) \$643,862; UW NCF (after reserves) \$629,462; Capitalization value \$10.731M at 6.00% cap. Loan constraints: LTV 65% \$6.975M; DSCR 1.25 at 7.00% → \$6.308M; Debt yield 9% → \$6.994M. Maximum loan \$6.308M. Net cash-out after 1% fee + \$45k costs and \$4.20M payoff: \$1.999M.

Metric	Prior	Revised
As-of date	2026-08-31	2026-09-01
Occupied / Pending / Vacant	44 / 1 / 3	45 / 0 / 3
Annual GPR	\$974,400	\$977,100
UW EGI	\$942,480	\$945,045
UW NOI (bef. reserves)	\$641,374	\$643,862
UW NCF (aft. reserves)	\$626,974	\$629,462
Cap rate	5.7500%	6.0000%
Capitalization value	\$11,154,323	\$10,731,028
Sizing rate	6.2500%	7.0000%
LTV limit	\$7,250,310	\$6,975,168
DSCR limit	\$6,788,545	\$6,307,523
Debt yield limit	\$6,966,373	\$6,994,018
Maximum loan	\$6,788,545	\$6,307,523

Metric	Prior	Revised
Net cash-out	\$2,475,660	\$1,999,448

Property, unit mix and occupancy (unchanged except Unit 045)

Manager mapping unchanged: Type A = Studio, Type B = 1BR, Type C = 2BR (manager-cover.pdf p.1). The revised certified roll (as of 2026-09-01) still lists 16 of each type; areas unchanged. Total area 40,800 SF.

Possession status on revised roll: Studios 15 active, 1 vacant; 1BR 15 active, 1 vacant; 2BR 15 active (Unit 045 now active at \$2,150), 1 vacant. Therefore 45 occupied, 0 pending, 3 vacant. Unit occupancy 93.75%; area occupancy 94.36%.

Type	Units	Occupied	Pending	Vacant	Unit SF
Studio (A)	16	15	0	1	700
1BR (B)	16	15	0	1	820
2BR (C)	16	15	0	1	1,030
Total	48	45	0	3	—

Rent roll and lease analysis

Revised roll date is 2026-09-01 (rent-roll-revised.xlsx B2). Suite 045 is now active at \$2,150/mo (E49) with the same 2029-08-31 expiration. All other units unchanged relative to the prior certified roll.

Suite 001 executed lease remains \$1,500/mo with a signed amendment +\$350 effective 2026-08-01; this continues to affect only in-place rent context, not the stabilized GPR per instructions.

Selected fact	Evidence
Suite 045 now active at \$2,150/mo	rent-roll-revised.xlsx A49:E49
Revised roll as-of date	rent-roll-revised.xlsx B2
All expirations unchanged (2029-08-31)	rent-roll-revised.xlsx F5:F52
Suite 001 lease and signed amendment	lease-001.pdf p.1; lease-correspondence.pdf p.1

Historical vs underwritten financials (revised)

Historical T12 remains the same. Underwritten figures update only for the revised GPR and for the changed cap and sizing rates per revision notice.

Revised UW: annual scheduled rent from revised roll $\times 12 = \$977,100$; 5% economic loss = \$48,855; other income $\$350 \times 48 = \$16,800$; EGI \$945,045. Expenses: taxes \$102,312; insurance \$34,104; other opex \$136,416; management at 3% of EGI \$28,351; total opex before reserves \$301,183; UW NOI before reserves \$643,862. Reserves unchanged \$14,400; UW NCF after reserves \$629,462.

Line	Historical T12	Underwritten (revised)
Collections / EGI	\$876,960	\$945,045
Taxes	(\$102,312)	(\$102,312)
Insurance	(\$34,104)	(\$34,104)
Other recurring opex	(\$136,416)	(\$136,416)
Management	n/a	(\$28,351)
NOI (before reserves)	\$604,128	\$643,862
Reserves	n/a	(\$14,400)
NCF (after reserves)	n/a	\$629,462

Debt sizing and sources & uses (revised)

Constraints unchanged; only rates and NCF changed. Sizing rate now 7.00% so DSCR limit declines. Results: LTV limit \$6.976M; DSCR limit \$6.308M; debt yield limit \$6.994M. Maximum loan \$6.308M. Origination 1% = \$63,075. Closing costs \$45,000. Existing payoff \$4,200,000. Net cash-out \$1,999,448.

Item	Amount
Maximum loan	\$6,307,523
Origination fee (1%)	(\$63,075)
Closing costs	(\$45,000)
Existing payoff	(\$4,200,000)
Estimated net cash-out	\$1,999,448

Risks, caveats and open diligence (reassessed)

Pending counted as leased in prior manager headline remains a present reporting risk historically, but on the revised roll there are zero pending units. Near-term rollover still absent: expirations remain 2029-08-31. Insurance documentation unchanged and present. Capital in opex still absent per operating-statement note. No unsigned rent changes; Suite 001 amendment is signed. Sizing floor still not binding because the note (6.25%) is below the new sizing rate (7.00%) which is driven by the revision override, not the floor. Refinance shortfall

remains absent; net cash-out is still positive at revised proceeds.

Risk	Assessment	Evidence
Pending counted in occupancy	Present (manager headline practice)	manager-cover.pdf p.1; prior roll G49
Near-term rollover	Absent	rent-roll-revised.xlsx F5:F52
Missing insurance	Absent	insurance.pdf p.1
Capital in opex	Absent	operating-statement.pdf p.1 note
Unsigned rent change	Absent	lease-correspondence.pdf p.1
Temporary free rent	Absent	lease-001.pdf p.1
Sizing floor binding	Absent	revision-notice.pdf p.1; underwriting-instructions.pdf p.1
Refinance shortfall	Absent	underwriting-v4.xlsx 'UW Rev'!B48, B50

Source notes (revised)

The revised certified roll dated 2026-09-01 supersedes the prior 2026-08-31 roll. Suite 045 is now active at \$2,150. The revision notice requires cap rate +25 bps (to 6.00%) and initial sizing rate +75 bps (to 7.00%). All other underwriting rules remain as in the original instructions.

Document	Page/Cell	Key data
rent-roll-revised.xlsx	B2; rows 5–52	As-of date; unit types, areas, rents, status, expirations
revision-notice.pdf	p.1	Unit 045 change; cap and sizing rate increases; rules unchanged
operating-statement.pdf	p.1	T12 financials (unchanged)
insurance.pdf	p.1	\$2,000,000 GL aggregate; dates (unchanged)